

If those corporate financial officers had only shut down their computers (and put aside their inherent self-interest in minimizing the contributions to those pension plans) and read John Maynard Keynes instead, they would have known what the numbers were never going to tell them: The bubble created by all the emotions that had fueled the boom—optimism, exuberance, greed, all wrapped in the excitement of the turn of the millennium, the fantastic promise of the Information Age and the New Economy—had to burst. And so, of course, it did, in late March 2000, at the very moment that those rosy 10 percent growth projections were being printed in glossy annual reports.

Clearly, investors would have been wise to set their expectations for future returns on the basis of the current sources of returns, rather than fall into the trap of looking to past returns to set their course. That the dividend yield as 2000 began was at an all-time low of just 1 percent and the P/E at a near record high of 32 times earnings together explain why the average return on stocks in the current decade is at present running at an annual rate of less than 1 percent. If the market remains where it is today at the close of 2009, the decade's return will be the second lowest of any full decade in history. (In the 1930s, the annual return on the S&P 500 averaged 0.0 percent.)

Business: The Bias toward Optimism

But it's not just our capital markets that have been corrupted by the perils of relying so heavily on the apparent certitude of numbers. Our businesses, too, have much to answer for, and indeed, the economic consequences of managing corporations by the numbers are both extensive and profound.

The terrible track record of CEOs in predicting growth for their own firms is a well-established fact, but their bias toward optimism—and their use (or, rather, abuse) of numbers to support optimistic assumptions—at least has the excuse of self-interest. Security analysts are supposed to bring a more objective eye to such